St Ignatius' College
Riverview

Student Numbe

2021

HIGHER
SCHOOL
CERTIFICATE
ASSESSMENT TASK 1
Topic Test

Business Studies

Task 1

Task Results

Section	Max Marks	Cohort Average
Multiple choice	10	6.75
Question 11	10	8.42
Question 12	10	6.24
Question 13	10	6.79
Question 14 – Case Study Essay	20	11.36
Total	**60**	**39.35**

Section 1

Question	Answer
1	C
2	C
3	B
4	A
5	D
6	D
7	C
8	A
9	C
10	D

Question 11 (10 Marks)

(a) Distinguish between cost leadership and differentiation for operations management.

Criteria	*Marks*
Recognise the distinct difference between cost leadership and differentiation for operations management using a clear term such as whereas.	2
Defines both/one term	1

Answer could include

Cost Leadership involves aiming to have the lowest costs or to be the most price-competitve in the market **whereas** **differentiation** is the process of distinguishing a product or service from other competing products or services.

Exemplar

(a) Distinguish between cost leadership and differentiation for operations management. 2

Cost leadership is a Role of operations managers which aims to minimise cost with cost decreasing profit (eg Aldi) whereas differentiation is also a role of operations managers which aims to produce different variations of products that are already on the market (eg Rolex)

2

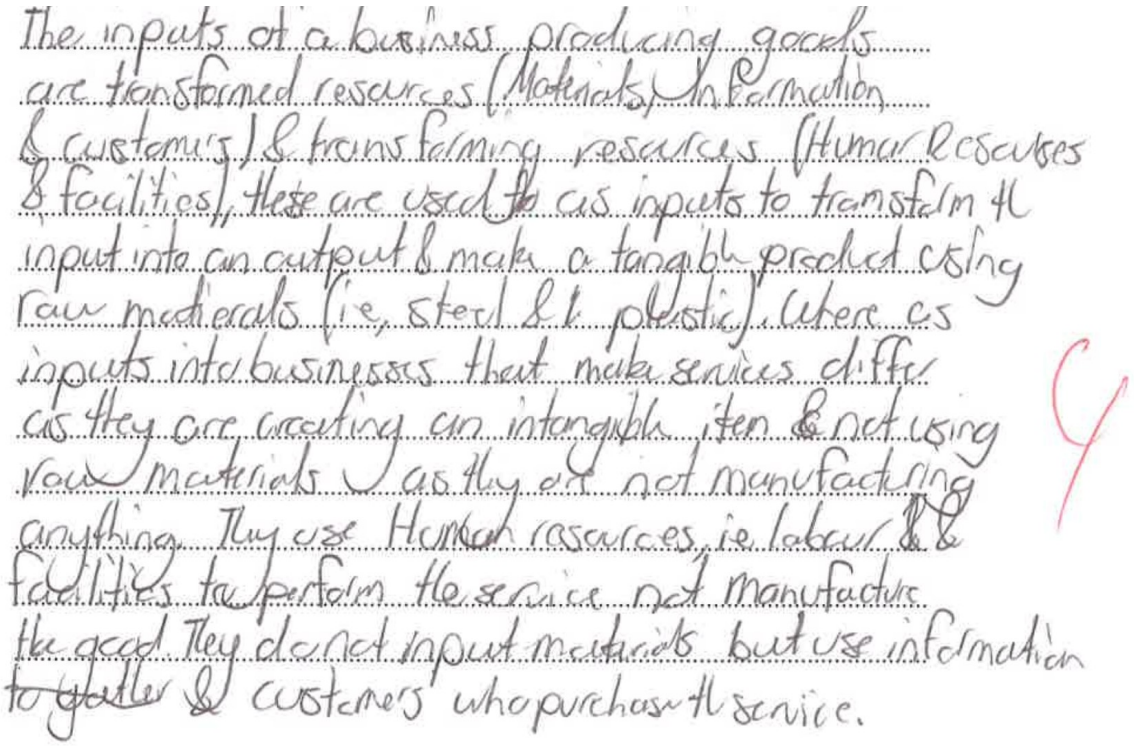
(b) How do the inputs of a business that produces goods differ from the inputs of a business that provides services?

Criteria	*Marks*
Relates cause and effect of differences between inputs of a business that provides a good as opposed to a service.	4
Provides characteristics and features of differences between inputs of a business that provides a good as opposed to a service.	3
Sketches in general terms the differences between inputs of a business that provides a good as opposed to a service.	2
Recognises and names the differences between inputs of a goods based business as opposed to a service based business.	1

Answer could include

Needed to relate cause and effect/ Some students described or outlined. Goods are tangible, service is intangible. Students talk about transforming and transformed resources.

Exemplar



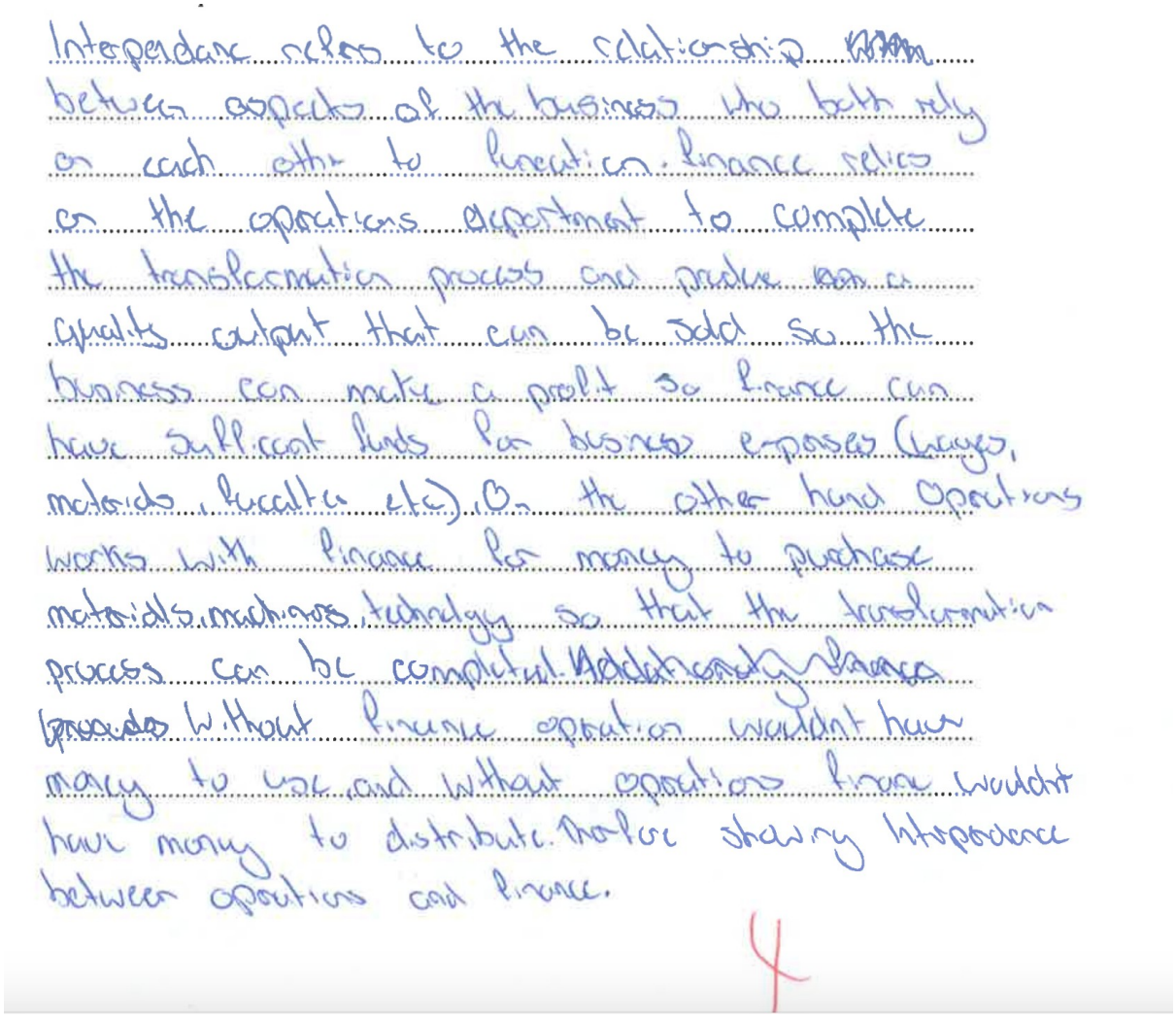
(C) Explain how operations is interdependent with finance. Support your answer with relevant examples.

Criteria	*Mark*
Relates cause and effect the interdependence between operations and finance.	4
Provides characteristics and features of the interdependence between operations and finance.	3
Sketches in general terms the interdependence between operations and finance	2
Recognises and names interdependence between operations and finance.	1

Answer could include

Interdependence refers to the relationship between operations and finance. Needed to relate cause and effect of interdependence of operations on finance AND finance on operations. Finance relies on operations to complete the transformation process and produce an output that can be sold so the business can make a profit. Operations relies on finance to have funds to purchase inputs etc.

Exemplar



Section II - Question 12

Joe's Japanese is about to open in the city. They plan to run an upmarket restaurant with all meal preparation occurring in the middle of the restaurant for customers to enjoy watching.

(a) Outline the influence visibility will have on the operations processes at this business.

Criteria	***Mark***
Sketches in general terms why visibility would influence the operations process at Joe's Japanese	2
Makes a comment about visibility in the operations process	1

Answer could include

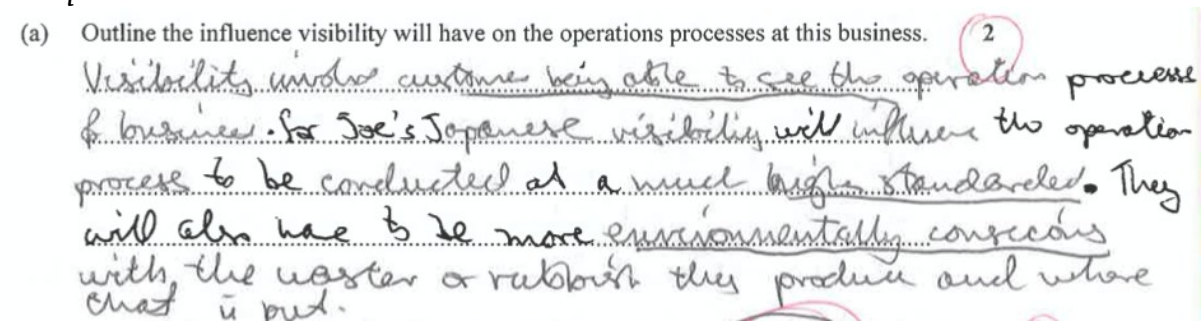
- *It will cost more for the business*
- *Greater quality eg hygiene*
- *Higher standards of ethical responsibility ie disposal of waste*

Markers comments

- *Best responses had a specific example relating to Joe's Japanese*

- *You had to write about how the business will be impacted by visibility, not the customers.*

Exemplar


(a) Outline the influence visibility will have on the operations processes at this business. 2

Visibility would customers being able to see the operation process & business. For Joe's Japanese visibility will influence the operation process to be conducted at a much higher standarded. They will also have to be more environmentally conscious with the waster or rubbish they produce and where that is put.

(b) Explain factors the business should consider when designing the task design and process layout in the new restaurant.

Criteria	Mark
Relates cause and effect to the considerations of task design and process layout at Joe's Japanese	4
Provides reasons in favour of how Joe's Japanese should consider task design and process layout	3
Sketches in general terms task design/process layout	2
Makes a general statement about task design or process layout	1

Markers comments

- You had to mention both task design AND process layout and explain how JJ's implement these. It was clear that some boys didn't know the different between them.

Exemplar

(b) Explain factors the business should consider when designing the task design and process layout in the new restaurant. 4

The factors that Joe's Japanese should consider in the task design is which tasks need to be performed first, the time it takes to perform each task and the labour / skills required to cook sushi or to put the oven on at the right temperature. If the task design is not coneiders than delays will occur in the production process, ~~reducing~~ increasing costs and reducing speed. For the power layout, Joe's Japanese will need to consider what tools for cooking and the labour need to be grouped and arranged in order to improve efficiny. If the power layout is not concidered than the efficiny of production will decrease as will the quality of the food.

Question 12 continues on the next page

(c) Explain how monitoring and controlling could be used in operations at this business.

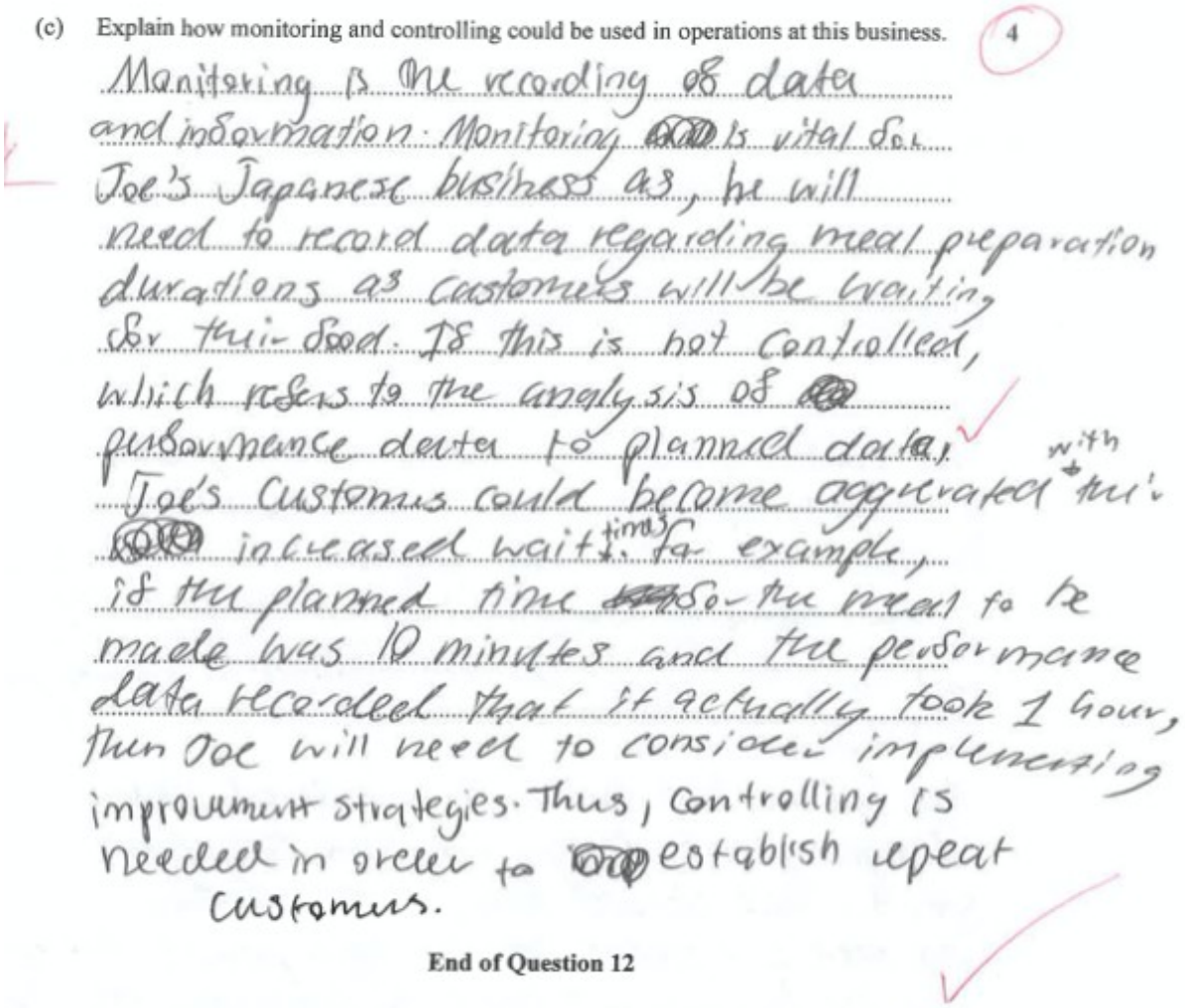
Criteria	Mark
Relates cause and effect of how monitoring and controlling could be used in operations at this business	4
Provides reasons in favour of how monitoring and controlling could be used in operations at this business	3
Sketches in general terms how monitoring and controlling could be used in operations at this business	2
Makes a general statement of how monitoring and controlling could be used in operations at this business OR defines monitoring and/or controlling	1

Markers comments

- *A lot of students didn't define monitoring and controlling accurately. Monitoring is the recording of data (eg. The weight of a product, cost etc) and the controlling is the comparing of the monitored data against targets. THEN a business will 'improve' by*

implementing changes is necessary. Too many people got this wrong. Look on p. 78-79 of your textbook.

Exemplar



(c) Explain how monitoring and controlling could be used in operations at this business. 4

Monitoring is the recording of data and information. Monitoring is vital for Joe's Japanese business as, he will need to record data regarding meal preparation durations as customers will be waiting for their food. If this is not controlled, which refers to the analysis of performance data to planned data, with Joe's customers could become aggravated due to increased wait time. For example, if the planned time for the meal to be made was 10 minutes and the performance data recorded that it actually took 1 hour, then Joe will need to consider implementing improvement strategies. Thus, controlling is needed in order to establish repeat customers.

End of Question 12

Question 13 (10 marks)
The Fruit Farm is an Australian manufacturer of organic bottled fruit juice with a factory in Sydney.

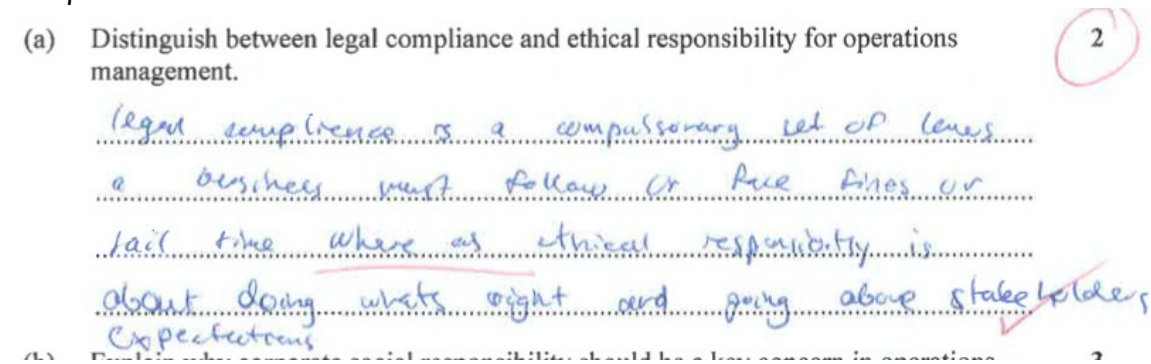
(a) Distinguish between legal compliance and ethical responsibility for operations management.

Criteria	*Marks*
Clearly sketches in general terms the difference between legal compliance and ethical responsibility	2
May give a brief/vague outline of the difference between legal compliance and ethical responsibility OR Gives a definition of both but doesn't use a differentiating term	1

Markers comments

- *On the whole this was done quite well. You needed to say that legal regulations about laws that are currently in place and in which the operations manager should follow or else they can face prosecution or penalties WHEREAS ethical responsibility is about a business going above and beyond the law and operating in a just way in relation to its interaction with the community and society more broadly.*

Exemplar


(a) Distinguish between legal compliance and ethical responsibility for operations management. 2

legal compliance is a compulsorary set of laws a business must follow or face fines or jail time where as ethical responsibity is about doing what's right and going above stakeholders expectations

(b) Explain why corporate social responsibility should be a key concern in operations management for this business.

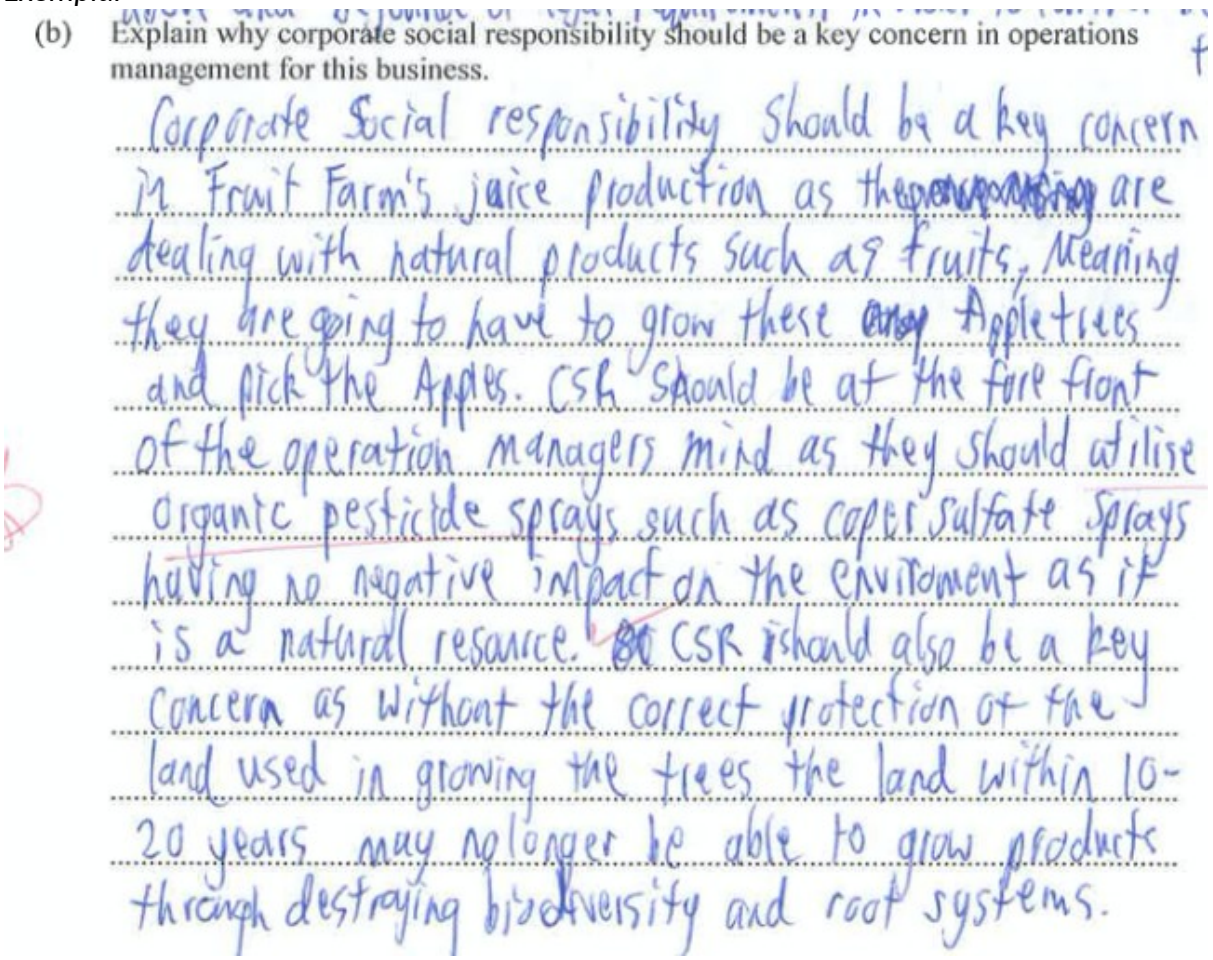
Criteria	***Mark***
Relates cause and effect of why CSR should be a key concern in operations management for this business.	4
Provides reasons in favour of why CSR should be a key concern in operations management for this business.	3
Sketches in general terms why CSR is a concern for operations management for this business	2
Makes a general statement of why CSR is a concern in business	1

Markers comments

- *The big part of this question was the WHY bit. WHY would this business be concerned about CSR? You needed to provide a way that TFF could do this as well.*
- *You had to relate the content to the stimulus.*

Exemplar

(b) Explain why corporate social responsibility should be a key concern in operations management for this business.


Corporate Social responsibility should be a key concern in Fruit Farm's juice production as the are dealing with natural products such as fruits, meaning they are going to have to grow these Appletrees and pick the Apples. CSR should be at the fore front of the operation managers mind as they should utilise organic pesticide sprays such as coper sulfate sprays having no negative impact on the enviroment as it is a natural resource. CSR should also be a key concern as without the correct protection of the land used in growing the trees the land within 10-20 years may no longer be able to grow products through destroying biodiversity and root systems.

(c) How do quality expectations AND legal regulations affect operations management at this business?

Criteria	*Marks*
Relates cause and effect of how quality expectations AND legal regulations affect operations management at this business	4
Provides reasons in favour of how quality expectations AND legal regulations affect operations management at this business	3
Sketches in general terms how quality expectations AND legal regulations affect operations management at this business	2
Makes a general comment about quality expectations and legal regulations.	1

Markers comments

- *In a 5 marker, good to start off with a definition for the main parts of the question ie quality expectations and legal regulation. You had to relate to The Fruit Farm.*
- *Unusual to see some students relating to other businesses – YOU HAVE TO relate to the stimulus to get 5/5.*

Exemplar

How do quality expectations AND legal regulations affect operations management at this business? 5

Quality expectations refer to the quality of a product expected by consumers. If the Fruit Farm's organic fruit juice has reduced damage, debut ate and is created using technology to increase the speed, volume and quality of the juice as well as using better quality inputs then the standard of the juice will be improved increasing the profit for operations but also increasing costs. Legal regulations will also increased costs for operations management but by producing fruit juice that is healthy and within it expiry date and the standards required under the Food Act of 2009 as well as doing production reduces pollution and waste adhering to the environmental protection and biodiversity conservation act of 1999 then the operations will increase their sales and improve their reputation.

End of Question 13

Topic Test Case Study Essay
Question 14

Evaluate the importance of operations strategies in improving business performance.

Criteria	Marks
• Makes a well-reasoned judgement based on criteria regarding the importance of operation strategies in improving business performance • Applies relevant case study/studies and contemporary business issues • Presents a sustained, logical and cohesive response and communicates clearly using relevant business terminology and concepts	17–20
• Makes some judgement regarding the importance of operation strategies in improving business performance • Uses relevant case study/studies and contemporary business issues • Presents a logical and cohesive response using relevant business terminology and concepts	13–16
• Provides characteristics and features of operations strategies and business performance. • May make reference to case study/studies and contemporary business issues • Communicates using relevant business terminology and concepts	9–12
• Sketches in general terms operations strategies and business performance. • May make reference to case study/studies and contemporary business issues • Communicates using some business terminology and concepts	5–8
• Makes limited reference to operations strategies • May identify case study/studies • Uses basic business terminology	1–4

May include reference to case studies and the following Operations strategies:

operations strategies

- performance objectives – quality, speed, dependability, flexibility, customisation, cost
- new product or service design and development
- supply chain management – logistics, e-commerce, global sourcing
- outsourcing – advantages and disadvantages
- technology – leading edge, established
- inventory management – advantages and disadvantages of holding stock, LIFO (last-in-first-out), FIFO (first-in-first-out), JIT (just-in-time)
- quality management
  - control
  - assurance
  - improvement
- overcoming resistance to change – financial costs, purchasing new equipment, redundancy payments, retraining, reorganising plant layout, inertia
- global factors – global sourcing, economies of scale, scanning and learning, research and development

Markers Feedback

- It was evident that some students struggled with managing their time during the exam. Some students were unable to finish or seemed very rushed.

- For the most part the general structure of the essay was good – that is an introduction, body and conclusion. However, the paragraph structure was often not clear. This impacted on the clarity of some students' arguments.
- Evaluate is asking you to make a judgement. This was not done very well by
- The question was asking about operations not marketing. Some students talked more from a marketing perspective rather than from an operation perspective which did not address the question. This was especially evident for those students that addressed the "new product design and development" strategy.
- Students who achieved a Band A response (between 17-20) had sufficient case study detail which directly answered the question. Some students mentioned relevant case studies and examples but did not provide enough detail or clarity in argument.